Kweichow Moutai (600519.SS)

Market-oriented plan #6: price hike of four SKUs at 42 direct self-operating stores incl. Feitian; Buy

600519.SS	12m Price Target: **Rmb1,667.00**	Price: **Rmb1,348.86**	Upside: **23.6%**

What's New: Kweichow Moutai's share price reacted positively on Aug 10 by 3% post the news of raising prices for four products across its 42 self-operating stores across regions on Aug 8: Feitian/Five-star Feitian/Zodiac/Jingpin Moutai are now priced at Rmb1,753/1,743/1,951/2,410 per bottle, up 2-3% vs. prior prices, with Feitian priced at 7% higher than normal suggested RSP at Rmb1,639 on i-Moutai, and also 2% higher vs the latest hiked group buy price in self-operated stores at Rmb1,719. For Feitian, the move effectively establishes differentiated online/offline pricing, with offline self-operated stores priced at Rmb1,753 vs. Rmb1,639 on i-Moutai, allowing Moutai to better capture demand from corporate/group-buy customers while maintaining a benchmark retail price online.

Our view: We see the move as another constructive step in Moutai's market-oriented reform and pricing mechanism enhancement. The combination of broader retail access may help improve price transparency, reduce arbitrage across channels and allow Moutai to better capture end-consumer demand with a stable pricing level (as self-operating store target is almost fulfilled and may more act like a pricing benchmark). Since the July price hike, Feitian wholesale prices have recovered to above c.Rmb1,700/bottle level (Rmb1,710-1,730/bottle in the first week of Aug) and remained resilient, supporting improving channel expectations ahead of the Mid-Autumn Festival.

That said, we think the contribution from this round of price hikes would be very insignificant given the limited volume offerings and higher price for Feitian in this channel vs other channels. More importantly, we expect 2H26 Feitian supply to tighten, making price stabilization rather than volume growth as the key operating focus for Feitian in 2H26 to support wholesale prices into peak seasons.

The authors would like to thank Lily Qi for her contribution to this report.

BUY

Leaf Liu
+852-3966-4169 | leaf.liu@gs.com
Goldman Sachs (Asia) L.L.C.

Christina Liu
+852-2978-6983 | christina.liu@gs.com
Goldman Sachs (Asia) L.L.C.

Valerie Zhou
+852-2978-0820 | valerie.zhou@gs.com
Goldman Sachs (Asia) L.L.C.

Key Data

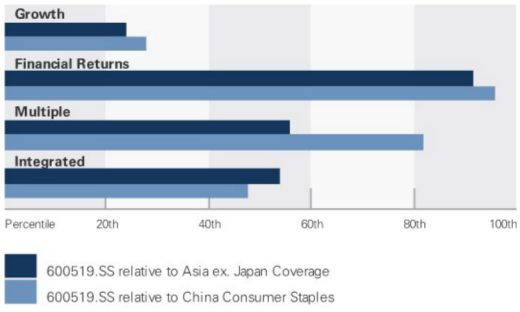
Market cap: Rmb1.7tr / $251.1bn
Enterprise value: Rmb1.5tr / $229.1bn
3m ADTV: Rmb6.1bn / $904.6mn
China
China Consumer Staples
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	172,054.2	178,763.9	193,635.5	204,873.9
EBITDA (Rmb mn)	116,165.1	119,126.5	130,240.6	138,515.9
EPS (Rmb)	65.74	67.79	74.23	78.99
P/E (X)	22.5	19.9	18.2	17.1
P/B (X)	7.6	6.4	5.9	5.5
Dividend yield (%)	3.5	3.9	4.2	4.4
N debt/EBITDA (ex lease,X)	(1.3)	(1.3)	(1.4)	(1.4)
CROCI (%)	32.6	29.9	29.9	28.9
FCF yield (%)	3.1	4.4	5.0	5.3

	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	21.75	14.52	15.62	15.89

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.